

Company: «CompanyName»

Insured: «NamedInsured»

Policy Number: «PolicyNum»

Endorsement Effective Date: «PolEffDate»

PUBLIC COMPANY MANAGEMENT LIABILITY INSURANCE ENHANCEMENT PLUS ENDORSEMENT

It is agreed that:

1. Section II. Extensions, B. Investigative Inquiry Coverage and C. Subpoena Coverage of the Directors & Officers Coverage (Part 1) of this Policy are deleted in their entirety.
2. Section III. Definitions A. **Claim**, subsection 3, of the Directors & Officers Coverage (Part 1) of this Policy is deleted in its entirety and replaced with the following:
 - A. **Claim** means:
 3. an official request for **Extradition** of an **Insured Person** or a criminal proceeding which is commenced by an arrest of, or return of an indictment against an **Insured**, by reason of a **Wrongful Act**;
3. Section III. Definitions, A. **Claim** of the Directors & Officers Coverage (Part 1) of this Policy is amended by the addition of the following:
 - A. **Claim** shall also include any **Investigative Inquiry** or **Subpoena** in connection with such **Insured Person** acting in his or her capacity as such or in connection with the **Company's** business activities.
4. Solely with respect to the coverage provided by this endorsement, the last paragraph of Section III. Definitions, A. **Claim** of the Directors & Officers Coverage (Part 1) of this Policy is deleted in its entirety and replaced with the following:

Claim shall not include a **Derivative Demand** or any labor or grievance proceeding or investigation which is subject to a collective bargaining agreement. A **Claim** shall be deemed to have been first made at the time written notice of the **Claim** is first received by any **Insured**. All **Claims** arising out of the same **Wrongful Act** or **Interrelated Wrongful Acts** shall be deemed to be a single **Claim** first made on the date on which the earliest such **Claim** was first made.
5. Section III. Definitions B. **Derivative Demand** of the Directors & Officers Coverage (Part 1) of this Policy is amended by the addition of the following:
 - B. **Derivative Demand** shall also include a written demand by a security holder of the **Company** to inspect the books and records of the **Company** pursuant to Section 220 of the Delaware General Corporation Law or any similar statute in any other jurisdiction.
6. Section III. Definitions C. **Derivative Demand Investigation Costs** of the Directors & Officers Coverage (Part 1) of this Policy is amended by the addition of the following:
 - C. **Derivative Demand Investigation Costs** shall also include reasonable and necessary fees and expenses incurred by the **Company** with the **Insurer's** prior written consent in response to a written demand by a security holder of the **Company** to inspect the books and records of the **Company** pursuant to Section 220 of the Delaware General Corporation Law or any similar statute in any other jurisdiction.
7. Section IV. Exclusions B. of the Directors & Officers Coverage (Part 1) of this Policy is deleted in its entirety and replaced with the following:

The **Insurer** shall not be liable under this Directors & Officers Coverage (Part 1) to pay any **Loss** arising from any **Claim** made against any **Insured**:

 - B. which is brought or maintained by or on behalf of: (i) the **Company** against an **Insured**; or (ii) an **Outside Entity** against an **Insured Person** who is or was serving in an **Outside Capacity** for such **Outside Entity**; provided, however, this exclusion shall not apply to any **Claim**:
 1. brought and maintained pursuant to Dodd-Frank § 954;
 2. that is a security holder derivative action brought and maintained on behalf of the **Company** by one or more persons who are not **Insured Persons**, but only if such **Claim** is instigated and maintained without the solicitation, assistance or participation of any **Insured Person** who is or has served with, been employed by, or provided consultation to the **Company** in any capacity for at least 12 months preceding

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the date the **Claim** was first made, other than assistance that is protected pursuant to any federal or state whistleblower statute or any regulation promulgated thereunder;

3. brought and maintained by or on behalf of a court-appointed bankruptcy or insolvency examiner, receiver, trustee or similar official or creditors committee for such:
 - a. **Company** while such **Company** is **Financially Impaired**; or
 - b. **Outside Entity** while such **Outside Entity** is **Financially Impaired**; or
4. brought and maintained outside the United States of America and Canada, by or on behalf of the **Company** or any **Outside Entity** against an **Insured Person** who is or was serving in an **Outside Capacity** for such **Outside Entity**, but only if the laws where such **Claim** is brought and maintained require that such **Claim** be brought by or on behalf of such entity;
8. Section IV. Exclusions C. of the Directors & Officers Coverage (Part 1) of this Policy is deleted in its entirety and replaced with the following:
 - C. for any actual or alleged violation of any of the responsibilities, obligations or duties imposed by **ERISA** with respect to any pension, profit sharing, health and welfare or other employee benefit plan or trust established or maintained for the purpose of providing benefits to employees of the **Company**;
9. Section Part 4, Common Definitions, G. **Damages**, subsection 1. of this Policy is amended by the addition of the following:
 - G. **Damages** means the monetary portion of any award, settlement or judgment, including pre-judgment and post-judgment interest, provided always that **Damages** shall not include:
 1. taxes, civil fines, criminal fines, sanctions, fees, restitution or penalties imposed by law, statute, regulation or court rule, except;
 - e. civil fines or penalties, if insurable under the law pursuant to which this Policy is construed, assessed against an **Insured Person** solely as a result of an **Investigative Inquiry**.
10. Section Part 4, Common Definitions, H. **Defense Costs** of this Policy is deleted in its entirety and replaced with the following:
 - H. **Defense Costs** means reasonable and necessary fees and expenses incurred with the **Insurer's** prior written consent to defend the **Insured**, and if authorized by the **Insurer**, all other fees and expenses resulting from the investigation, adjustment, defense or appeal of any **Claim** including the cost of appeal bonds; however, the **Insurer** shall have no obligation to apply for or furnish appeal bonds on behalf of any **Insured**. **Defense Costs** shall also include **Sox 304/Dodd-Frank 954(b) Costs**.
Defense Costs shall not include salaries and expenses of regular employees or officers of the **Insurer** or any salaries, wages, fees, costs or expenses of any **Insured**. **Defense Costs** shall be part of, and not in addition to, the **Applicable Limit of Liability**.
11. Section Part 5, Common Exclusions A. and B. of this Policy are deleted in their entirety and replaced with the following:

In addition to the Exclusions listed in the **Coverage Parts**, the **Insurer** shall not be liable under this Policy to pay any **Loss** arising from any **Claim** made against any **Insured**:

 - A. based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving:
 1. Solely with respect to Directors & Officers Coverage (Part 1) and Fiduciary Coverage (Part 3), any criminal, dishonest, fraudulent, deliberate, intentional or willful act or omission or any deliberate, intentional or willful violation of any statute or regulation committed by any **Insured**; however, this exclusion shall only apply if a final adjudication in the underlying proceeding establishes the **Insured** committed such act, omission or violation;
 2. Solely with respect to Employment Practices Coverage (Part 2), any criminal or fraudulent act or omission committed by any **Insured**; however, this exclusion shall only apply if a final and non-appealable judgment in any underlying proceeding establishes the **Insured** committed such act or omission;
 - B. based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving any **Insured** gaining any personal profit, remuneration or other financial advantage to which such **Insured** was not legally entitled; however, this exclusion shall only apply if a final adjudication in the underlying proceeding establishes the **Insured** gained such personal profit, remuneration or other financial advantage;

Provided however Exclusions A. and B. shall not apply to any actual or alleged violation of Sections 11, 12 or 15 of the Securities Act of 1933, or any amendments thereto.

Severability of Exclusions: For purposes of determining the applicability of Exclusions A. and B. above, the **Wrongful Act** or knowledge of any **Insured Person** shall not be imputed to any other **Insured Person**;

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provided, however, that the **Wrongful Act** or knowledge of the Chief Executive Officer or Chief Financial Officer (or the foreign or domestic equivalent of such positions) shall be imputed to the **Company**.

12. Section Part 5, Common Exclusions, E., subsection 1. of this Policy is deleted in its entirety and replaced with the following:

In addition to the Exclusions listed in the **Coverage Parts**, the **Insurer** shall not be liable under this Policy to pay any **Loss** arising from any **Claim** made against any **Insured**:

E.1. based upon, arising out of, directly or indirectly resulting from, in consequence of, or in any way involving any fact, circumstance, situation, transaction, event or **Wrongful Act** that was the subject of any written notice given and accepted under any policy of insurance prior to inception of this Policy; or any other **Wrongful Act** whenever occurring, that, together with a **Wrongful Act** described previously in this paragraph would constitute **Interrelated Wrongful Acts**; or

13. Section Part 6, Common Conditions, B. Defense And Settlement, subsection 3. of this Policy is amended by the addition of the following:

3. The failure of an **Insured** to provide such cooperation or assistance shall not impair the rights of recovery of any other **Insured Person**.

14. Section Part 6, Common Conditions, C. Retention, subsection 4. of this Policy is deleted in its entirety.

15. Section Part 6, Common Conditions, D. Reporting And Notice Requirements, subsection 1. of this Policy is deleted in its entirety and replaced with the following:

As a condition precedent to coverage under this Policy, the **Insured's** duties in the event of a **Claim** are as follows:

1. If a **Claim** is made against an **Insured**, the **Insured** must give written notice to the **Insurer** as soon as practicable after the Chief Executive Officer or Chief Financial Officer (or the foreign or domestic equivalent of such positions) becomes aware of such **Claim**, but in no event later than:
 - a. 180 days after this Policy expires, with the stipulation that this Policy is renewed with the **Insurer**;
 - b. 60 days after this Policy expires or terminates if this Policy is not renewed with the **Insurer**; or
 - c. the expiration date of the Supplemental Extended Reporting Period, if applicable.

The **Insured** shall immediately forward to the **Insurer** every demand, notice, summons, or other process received by any **Insured**.

16. Section Part 6, Common Conditions, I. Subrogation of this Policy, the fourth (4th) paragraph is deleted in its entirety and replaced with the following:

The **Insurer** shall not exercise its right of subrogation against any **Insured Person** unless it has been established by a final adjudication in the underlying proceeding that such **Insured Person** committed conduct that is uninsured pursuant to Common Exclusions (Part 5), A. or B.

17. Section Part 6, Common Conditions, J. Allocation of this Policy is deleted in its entirety and replaced with the following:

J. If both **Loss** covered by this Policy and loss not covered by this Policy are incurred as a result of a **Claim**, the **Insured** and the **Insurer** shall use their best efforts to allocate such amounts between covered **Loss** and uncovered loss based upon the relative legal and financial exposures of the parties to covered and uncovered matters; provided, however, that one hundred percent (100%) of any such **Defense Costs** shall be allocated to covered **Loss** if and to the extent such **Defense Costs** are incurred by the covered **Insured** and are, in part, covered by this Policy and, in part, not covered by this Policy because the **Claim** against the **Insured** includes both covered and uncovered matters.

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